

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: strong

Top improvement

When you reconcile a cost line, split the impact by component and carry it into the recommendation. Here, beans added only about 4 of the 16 COGS points (10.5 ' ~14.7) and dairy, packaging and food added about 12. Your procurement plan should therefore target all inputs rather than just hedging beans. Then open your final answer with that recommendation before walking through the dollar sizing.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with a hypothesis drawn from the prompt's facts and prioritized the cost side before asking for data.

“this reads as a cost problem rather than a demand problem”

“Then I'd isolate which cost line grew fastest as a percent of revenue and drill into that.”

The revenue branch was tailored to a retail chain (transactions × ticket, store count, new-store ramp) rather than generic.

“On revenue, split into number of transactions times average ticket, and check store count”

When asked whether the structure was MECE, the candidate found real gaps: net vs. operating margin, mix and channel, and splitting COGS by input.

“I framed it around operating costs, but we're told *net* margin, not operating margin.”

“Within it, bean prices, dairy, and packaging behave very differently and I'd want them separate.”

What needs work

The objective (find the root cause and reverse the decline) was never restated, and the structure was never tied to the CEO's decision.

“I'd structure it as: first, decompose profit into revenue and costs.”

Missed opportunities

Opening framework in turn 1, before any data was requested.

A great answer: “The CEO needs the root cause of an 18-point margin drop and a plan to reverse it. Since revenue grew, I'll look at four areas: price realization vs. volume, COGS by input, labor and occupancy, and below-the-line items. I'll also ask whether peers are seeing the same squeeze and whether we've used our pricing power. My hypothesis is COGS inflation that wasn't passed through to price, so I'll start there.”

Quantitative & Analytical Rigor

strong

What went well

The candidate built the COGS reconciliation step by step: volume scaling, then input inflation, then a check against the given 58%.

“Beans: $10.5 \times 1.15 \times 1.40 = 16.9$ ”

“That's the exact COGS ratio you gave me, so input price inflation explains essentially all 16 points.”

The candidate set up the price-increase equation and correctly sized the margin targets (24% for full recovery, about 10% for a 15% margin), but then overstated a 10% price rise as 'ten points of margin'; on a 115 base it lifts margin from 6% to about 14.5%, roughly 8.5 points.

“Holding volume, to get back to 24% net margin you'd need revenue of $108.1 / 0.76 = 142.2$, a 24% price increase.”

“ten points of margin from a 10% increase, versus one or two points from waste or procurement.”

The candidate converted percentages into dollar impact and stated what it means for the business (\$71M lost, ~\$48M recoverable); all figures check out.

“So they've lost about \$71M in annual profit while serving more customers.”

“A 10% price rise, holding volume, takes revenue to \$528M against the same \$451.2M, leaving \$76.8M — a 14.5% margin and roughly \$48M recovered.”

What needs work

In turn 7 the candidate stated a 25% bean-inflation figure that was reverse-engineered rather than derived. The candidate admitted this only after the interviewer challenged it.

“So the other inputs, mainly green coffee, would have to be running near 25% increases on top.”

Missed opportunities

Turn 7, after deriving the 38% per-unit COGS increase.

A great answer: “Rather than guess at input shares, I’ll stop here. Per-unit COGS is up about 38%, and I need the input split before I can say which input drove it.”

Data & Exhibit Interpretation

strong

What went well

The candidate read the cost breakdown systematically and attributed all 18 points (16 to COGS, 2 to overhead, labor ruled out), but never split the 16 COGS points between inputs: beans add about 4.2 and dairy, packaging and food about 11.8. As a result, the procurement recommendations later focused on beans alone.

“That lines up exactly — 16 points from COGS plus 2 from overhead is the full 18. Labor’s a non-issue, and so is revenue. So this is a COGS story.”

“Other: $31.5 \times 1.15 \times 1.375 = 49.8$ ”

“No waste, no mix shift, no procurement failure needed.”

The candidate turned the COGS jump into a per-unit cost insight and correctly concluded it was a price problem, not a volume problem.

“That’s a 59% increase in COGS dollars against 15% more volume, so roughly 38% more cost per unit sold.”

The candidate drew the key implication (menu prices were flat while inputs inflated) and named the exact data needed to confirm it.

“Which means menu prices haven’t moved at all in two years while inputs rose nearly 40%.”

“Do we have the menu price history to confirm prices were held flat?”

Missed opportunities

Turn 11, right after reconciling COGS to 58%.

A great answer: “Splitting it out, beans went from 10.5 to about 14.7 points of revenue, so they add roughly 4 points. Dairy, packaging and food add the other 12. The headline bean spike is only a quarter of the problem, so any procurement fix has to reach beyond coffee.”

Business Judgment & Insight

adequate

What went well

The candidate prioritized pricing as the only lever large enough for the problem and designed a realistic in-market elasticity test.

“Pricing, first and alone. It’s the only lever sized to the problem”

“measuring transaction volume and ticket — not just revenue, because a volume drop masked by higher prices is a slow bleed.”

The candidate surfaced commercial risks with mitigations: elasticity (phase the rollout, lead with high-value drinks) and brand erosion from cheaper inputs.

“I’d phase it and lead with espresso drinks where perceived value is highest”

“is the brand promise and quality erosion costs you the pricing power you need”

What needs work

Procurement levers focused only on beans, even though the candidate’s own reconciliation shows non-bean inputs drive about three-quarters of the COGS increase.

“Procurement: beans are up 40% on spot.”

“Hedge beans in parallel so the next shock doesn’t repeat this.”

In turn 7 the candidate stacked unconfirmed industry assumptions into a conclusion instead of asking for the data.

“If dairy is around 30% of COGS at a specialty chain, and milk prices alone drove this, milk would have to have roughly tripled”

Missed opportunities

Turn 19, final advice to the CEO.

A great answer: “Alongside the price test, renegotiate dairy, packaging and food supply, not just bean contracts. Those inputs are where most of the 16 COGS points came from.”

Creativity & Brainstorming

adequate

What went well

Two ideas were non-obvious: steering mix toward low-dairy items through menu-board design, and buying direct from roasters instead of through distributors.

| *"making the smaller sizes more prominent on the menu board, lifts blended margin without a headline price change."*

| *"with 200 locations they have scale to negotiate directly with roasters or importers rather than buying through a distributor."*

What needs work

The candidate produced several distinct levers and ordered them by impact, but listed them flat with no top-level structure (price realization vs. cost vs. mix). Almost all were cost-side, with no revenue-side ideas beyond the headline price increase.

| *"Portion and waste control: at 58% COGS, even a one or two point reduction in dairy waste, overpour, or unsold pastries is real money."*

| *"A few levers, roughly in order of how much they'd move the needle."*

Missed opportunities

Turn 15, when asked what else could rebuild margin.

A great answer: "I'll split this into three buckets: getting more revenue per cup, lowering input cost per cup, and running stores leaner. On revenue, I'd look at food attach, loyalty-driven trade-up and size architecture. On cost, renegotiating dairy and packaging supply, bean contracts and waste. On operations, overhead creep. Then I'd rank them by margin points."

Synthesis & Recommendation

adequate

What went well

The turn 13 synthesis was crisp: root cause, recommendation, sizing, risks and next steps.

| *"Root cause: input cost inflation of roughly 38% has been fully absorbed, because menu prices haven't moved in two years."*

What needs work

The final answer committed to a clear action with a named risk and a de-risking step, but the recommendation was buried beneath a paragraph of dollar sizing instead of leading.

| *"That changes my confidence meaningfully — flat footprint means the 15% is same-store volume growth."*

| *"Sizing it in dollars: revenue \$480M, net margin 6% = \$28.8M profit."*

| *"So: tell the CEO to reprice, phased, starting with a test in six to ten stores."*

| *"Risk is elasticity, which the test de-risks before full rollout."*

Missed opportunities

Turn 19, asked 'what would you tell the CEO to do?'

A great answer: "Raise prices about 10%, phased, starting with a 6–10 store test. Three reasons: input costs rose about 38% while prices stayed frozen, demand is strong with same-store volume up 15%, and a 10% increase recovers about \$48M and lifts margin to roughly 14.5%. The key risk is elasticity, which the test manages. In parallel, renegotiate supply contracts across beans and the other inputs."

Communication & Delivery

strong

What went well

Most turns opened with the conclusion and used clear signposting, but the most important answer of the case (turn 19) was delivered bottom-up, with calculations before the recommendation.

| *"Biggest one: I framed it around operating costs"*

| *"Before committing, I'd want three things."*

| *"Sizing it in dollars: revenue \$480M, net margin 6% = \$28.8M profit."*

The candidate used hypothesis language throughout and built directly on new information from the interviewer.

| *"this reads as a cost problem rather than a demand problem"*

| *"That changes my confidence meaningfully — flat footprint means the 15% is same-store volume growth."*

Missed opportunities

Turn 19 opening line.

A great answer: "My recommendation is to reprice by about 10%, phased. Here's why, in dollars."

Pushback, Composure & Case Leadership

strong

What went well

Challenged on the dairy and bean assumptions, the candidate showed the math, named exactly where it broke and updated without getting defensive.

| *"The problem is the 30% dairy share is something I assumed, not something you gave me, so the 3x is an output of my own guess."*

| *"And the 25% for beans was worse — I didn't compute it, I reverse-engineered it to make the remainder close."*

The candidate incorporated the feedback by asking for data instead of assuming, then grounded later analysis only in figures provided.

| *"What I'd need instead: a split of COGS into beans, dairy, packaging, and food, in dollars or percent of revenue, for both years."*
The candidate often drove the case forward by requesting the next decisive data point unprompted, but after strengthening the structure in turn 3, handed control back to the interviewer instead of naming where to start.
| *"Do we have the menu price history to confirm prices were held flat?"*
| *"Where should I dig first?"*

Missed opportunities

End of turn 3, after the MECE critique.

| A great answer: "Given revenue grew, I'd still start with the operating cost breakdown, since that's where 18 points most likely sit. Below-the-line items are my second check."

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 1:55

Okay. Since revenue is actually up 15% and margin collapsed from 24% to 6%, this reads as a cost problem rather than a demand problem — though I want to confirm revenue growth isn't coming from heavy discounting that inflates traffic while hurting price per cup.

I'd structure it as: first, decompose profit into revenue and costs. On revenue, split into number of transactions times average ticket, and check store count — 200 locations, but how many were opened in the last two years? New stores ramping could drag margin. On costs, split fixed versus variable: COGS (coffee beans, milk, cups), labor, rent and occupancy, and corporate overhead.

Then I'd isolate which cost line grew fastest as a percent of revenue and drill into that.

To start: do we have a cost breakdown as a percent of revenue for both years?

Interviewer · 1:58

Before I give you that, you've laid out revenue and cost branches. Hold that request; I'll come back to it shortly. Is that structure MECE, and what, if anything, is missing from it?

Candidate · 3:29

Mostly MECE, but there are a couple of gaps.

Biggest one: I framed it around operating costs, but we're told *net* margin, not operating margin. So below the line matters — interest expense if they took on debt to fund expansion, depreciation on new store buildouts, taxes, and any one-time charges like impairments or lease termination costs. A net margin drop of 18 points could partly live there.

Second, I didn't break out product and channel mix. A shift from high-margin brewed coffee toward food, or toward delivery apps that take 20-30% commission, would compress margin with revenue still growing. Same-store versus new-store performance is really a sub-branch of that.

Third, I lumped COGS together. Within it, bean prices, dairy, and packaging behave very differently and I'd want them separate.

So: revenue drivers, operating costs split fixed/variable, mix, and below-the-line items. Where should I dig first?

Interviewer · 3:31

Where would you dig first, and why? Your earlier request for the cost breakdown is still open, so tell me what makes you pick that over the other branches.

Candidate · 5:01

I'd go to the cost breakdown first, because it's the fastest way to narrow eighteen points of margin. Revenue is up, so the loss is almost certainly sitting in one or two lines, and I'd rather find the line than guess at the mechanism.

Let me reason toward it while I wait. If revenue grew 15% and we hold the dollar profit implied by 24%, then at 6% net margin on the larger base, profit dollars are roughly a quarter of what they were — $0.06 \times 1.15 = 6.9$ versus 24, so about 71% of absolute profit gone. That's too large for overhead creep alone.

Given a specialty chain, COGS is typically around 30% of revenue and labor around 30%. If COGS held flat and labor absorbed the whole swing, labor would have to be running near 48% of revenue — which feels implausibly high for this format. Is that roughly where it landed, or is it split across lines?

Interviewer · 5:04

Your profit math is coherent, and the cost breakdown is earned now. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%.

Candidate · 6:35

That lines up exactly — 16 points from COGS plus 2 from overhead is the full 18. Labor's a non-issue, and so is revenue. So this is a COGS story.

Now, COGS going from 42% to 58% while revenue grew 15% means COGS dollars grew a lot in absolute terms. If revenue is 100 ' 115, COGS is 42 ' 66.7. That's a 59% increase in COGS dollars against 15% more volume, so roughly 38% more cost per unit sold. That's a price or waste problem, not a volume problem.

Two candidates: input prices spiked, or they're selling more of something cheap-margin. If dairy is around 30% of COGS at a specialty chain, and milk prices alone drove this, milk would have to have roughly tripled — which I doubt. So the other inputs, mainly green coffee, would have to be running near 25% increases on top. Is that roughly the shape of it?

Interviewer · 6:38

I'll take your COGS dollar math as you showed it. The 30% dairy share and the roughly 25% bean increase are your assumptions, and the milk tripling and 25% figures don't follow from anything we've established. Walk me through how you got from a 30% dairy share to milk having to triple, and what you'd need to know to replace that assumption with data. Hold that request; I'll come back to it shortly.

Candidate · 8:08

Fair — let me show it and I think you'll see where it breaks.

I was reasoning: if dairy is 30% of the old COGS base of 42, that's 12.6 points of revenue. COGS needs to climb 24.7 points in dollars, from 42 to 66.7. If dairy alone carried all of that, it'd go from 12.6 to 37.3, which is about 3x. That's where "tripling" came from.

The problem is the 30% dairy share is something I assumed, not something you gave me, so the 3x is an output of my own guess. And the 25% for beans was worse — I didn't compute it, I reverse-engineered it to make the remainder close. So neither number is load-bearing.

What I'd need instead: a split of COGS into beans, dairy, packaging, and food, in dollars or percent of revenue, for both years. That tells me directly which line moved rather than me inferring it.

Interviewer · 8:11

Understood. You've asked for the COGS split and input cost changes, so here they are. Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years.

Candidate · 9:42

That reconciles perfectly. Let me show it.

Old COGS = 42 points of revenue. Beans at 25% = 10.5, other inputs at 75% = 31.5.

Scale quantities by the 15% volume growth, then apply inflation:

Beans: $10.5 \times 1.15 \times 1.40 = 16.9$

Other: $31.5 \times 1.15 \times 1.375 = 49.8$

Total = 66.7 against revenue of 115 ' 58.0%.

That's the exact COGS ratio you gave me, so input price inflation explains essentially all 16 points. No waste, no mix shift, no procurement failure needed.

But that reconciliation only works if the 15% revenue growth is pure volume. Which means menu prices haven't moved at all in two years while inputs rose nearly 40%. That's the real finding — Brew & Bean absorbed the entire commodity shock.

Do we have the menu price history to confirm prices were held flat?

Interviewer · 9:44

Your arithmetic is shown and consistent with the figures. You've asked for menu price history, and that's the right thing to confirm. Menu prices have not changed in two years.

Candidate · 11:23

Then I'll give the recommendation.

Root cause: input cost inflation of roughly 38% has been fully absorbed, because menu prices haven't moved in two years. Revenue growth was pure volume, so every extra cup came in at a shrinking margin.

Recommendation: raise menu prices. Sizing it — current costs are 94% of revenue, so on a 115 base that's 108.1 in cost dollars. Holding volume, to get back to 24% net margin you'd need revenue of $108.1 / 0.76 = 142.2$, a 24% price increase. That's steep. To reach a 15% margin: $108.1 / 0.85 = 127.2$, about a 10% increase — far more digestible.

Risks: specialty coffee has real elasticity, and a 10% jump risks traffic loss, so I'd phase it and lead with espresso drinks where perceived value is highest. Also overhead crept 2 points — worth a look.

Next steps: price elasticity test in a few markets, and hedge or lock bean contracts so we're not re-absorbing the next shock.

Interviewer · 11:25

Okay. Beyond raising prices, what else could Brew & Bean do to rebuild its margin?

Candidate · 12:55

A few levers, roughly in order of how much they'd move the needle.

Procurement: beans are up 40% on spot. Forward contracts or hedging won't recover past losses but stops the bleeding, and with 200 locations they have scale to negotiate directly with roasters or importers rather than buying through a distributor.

Mix: push customers toward the items where input cost is lowest as a share of price. Brewed drip and espresso use far less dairy than a large latte, so featuring those, or making the smaller sizes more prominent on the menu board, lifts blended margin without a headline price change.

Portion and waste control: at 58% COGS, even a one or two point reduction in dairy waste, overpour, or unsold pastries is real money.

Overhead: it drifted from 12% to 14% while labor held flat — worth understanding whether that's new-store support costs or corporate bloat.

Quietest lever is substitution — reformulating to a cheaper milk or bean blend — but I'd be cautious, since "specialty" is the brand promise and quality erosion costs you the pricing power you need.

Interviewer · 12:57

Okay. Of everything you've laid out, which would you put in front of the CEO first, and what would you want to see before committing to it?

Candidate · 14:28

Pricing, first and alone. It's the only lever sized to the problem — ten points of margin from a 10% increase, versus one or two points from waste or procurement. Everything else is a supporting act, and if I lead with cost-cutting the CEO fixes the small thing and leaves the big one alone.

Before committing, I'd want three things. First, elasticity: a live test in six to ten stores across different market types, run four to six weeks, measuring transaction volume and ticket — not just revenue, because a volume drop masked by higher prices is a slow bleed. Second, competitive pricing in those markets, since if peers already repriced we have more headroom than I'd assume. Third, confirmation that the 15% growth is genuinely volume and not store-count driven — if it's mostly new stores, same-store traffic may already be soft and a price rise lands harder.

If the test shows volume holding within a few percent, I'd roll out in phases rather than all at once.

Interviewer · 14:31

One thing you asked for earlier: 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed. Total revenue is \$480M a year. Based on what you have, what would you tell the CEO to do?

Candidate · 16:01

That changes my confidence meaningfully — flat footprint means the 15% is same-store volume growth. Demand is genuinely strong and they're underpriced. That's the best possible setup for a price increase.

Sizing it in dollars: revenue \$480M, net margin 6% = \$28.8M profit. Two years ago revenue was $480/1.15 = \$417\text{M}$ at 24% = \$100M. So they've lost about \$71M in annual profit while serving more customers.

Costs today are 94% of \$480M = \$451.2M. A 10% price rise, holding volume, takes revenue to \$528M against the same \$451.2M, leaving \$76.8M — a 14.5% margin and roughly \$48M recovered.

So: tell the CEO to reprice, phased, starting with a test in six to ten stores. Volume is rising with prices frozen through a 38% input shock — that's the whole story. Hedge beans in parallel so the next shock doesn't repeat this. Risk is elasticity, which the test de-risks before full rollout.

Interviewer · 16:03

We'll stop there. Thanks for working through the case — your written report will follow.